

Information, Economics and Business

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Conversation starter

- *Consider Apple's pricing for smartphones.*
- *Consider Spotify's pricing*
 - *What are the differences when pricing physical or digital products?*
 - *Can you identify some pricing strategies from today's session?*

Questions related to learning objectives

- **How can a firm price digital products/services?**
- What are the alternative revenue models in digital markets?

Price Discrimination

1. Personalised pricing

- Charging each consumer, the maximum amount he/she is willing to pay for each unit of the product
- Extract all **surplus** from consumers

2. Versioning

- Offering versions tailored to the needs of different consumers leading to **self-selection**

3. Group pricing

- Charging different groups of consumers different prices for the same product/service
- Price sensitivity, lock-in and product endorsement

Versioning Principles

- Versions tailored to the needs of different customers
- The differences between the versions are accentuated
- Prices for different buyers who acquire distinct:
 - Quantities
 - Qualities
 - Product versions
- Market segmentation
 - Value based pricing for digital goods

How Many Versions?

1. Market analysis

- Does it naturally subdivide into different categories?
- Are their behaviors sufficiently different?
- Is there possibility of user confusion?

2. Product analysis

- Dimensions to version
- High and low end for each dimension
- Low end advertises for high end
 - Users trade up

The rule of three versions

Pricing to increase and sustain the user base

- Versioning and market segmentation
- Criteria
 - commitments to existing customers
 - information on existing and new customers
 - customer's ability for arbitrage
- 3 Groups:
 - installed base -> premium services
 - rival's customers -> discounts
 - new customers -> introductory offers

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- Let's observe the pricing strategies of Booking.com

Bundling

- Price bundles

- Separate products
- Discount of the products/services in the bundle
- No value added for the consumer from the bundle

- Product/service bundles

- A package of services/products which work together
- Value added for the consumer through integration

Why bundle: reduce dispersion

	Word Processor	Spread sheet
Mark Ketting	\$120	\$100
Noah Count	\$100	\$120
Profits: With Bundling: \$440		Without: \$400

Some Bundling considerations

- Conditional Reservation prices asymmetry
 - pure price or product bundling
- Variation of reservation prices for the bundle
 - mixed price or product bundling
- For increasing market penetration pure price bundling
- Competitive environments mixed price /product bundling
 - But! Consumer behaviour and costs could influence bundling strategy

Questions related to learning objectives

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- **What are the alternative revenue models in digital markets?**

Pricing Strategies in a Platform

- Charging one side (users) little or nothing, the platform will attract participants on the other side (service/application providers) which generate revenue
 - When there is **no price transaction** charge more the side that benefits more from the presence of other
 - When **price transaction**, charge more the side that extracts the highest value
 - What is the impact on the other side's growth or willingness to pay?
 - "Subsidy-side": group of users are highly valued on the "money-side"

The challenge: how much subsidy should one side get and how much premium should the other side pay?

Value Capture

- Value capture and the challenges of monetizing network effects
 - For users: access to value created on the platform
 - For producers/third party providers: access to community or the market
 - For both users/consumers and producers: access to tools and services that facilitate interaction
 - For both users/consumers and producers: access to curation mechanisms that enhance the quality of interactions

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When does the “free” make sense?



Key principles to ensure transition from free to fee

- Consider value capture in the platform design phase
- Avoid charging for value that users previously receive for free
- Avoid reducing access to value that users have become accustomed to receive
- When transition from free to fee, create **additional** value that justifies the charge

Example:



Intrinsic characteristics

Delivery mode: downloadable/interactive

- When the product is downloaded, the value is transferred to customers in a clear-cut fashion

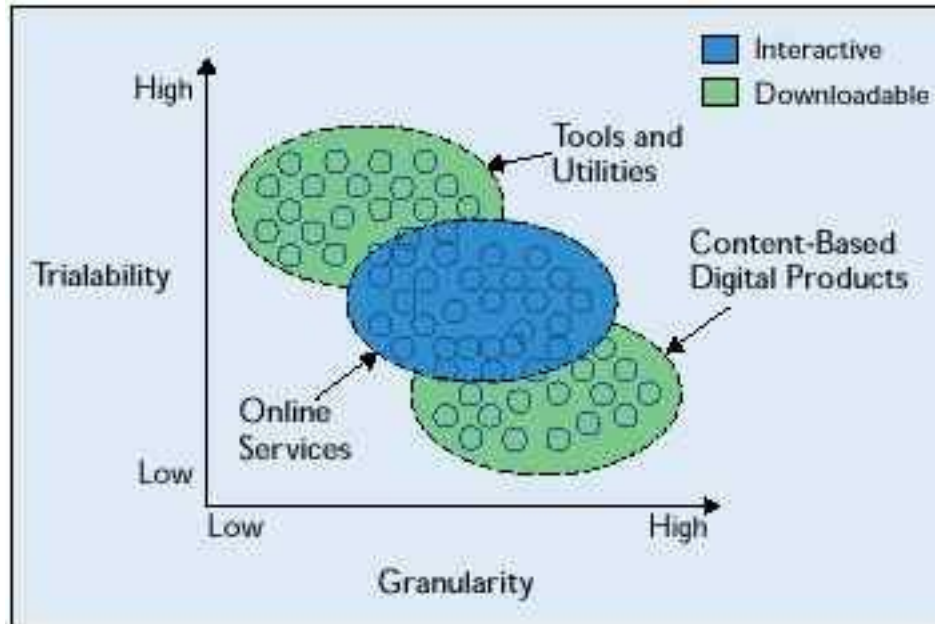
Granularity: divisibility

- Highly divisible products allow versioning by bundling or limiting certain features

Trialability: allowing preview

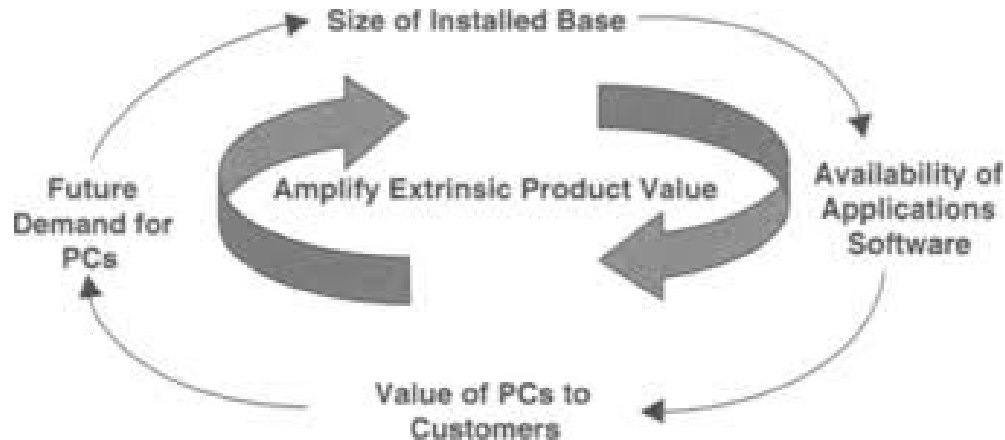
- Not desirable for all products

Classification of digital products (Hui and Chau 2002)



How to generate and manage network effects?

- Increase user participation
 - Increase time spent with the product and product's perceived value
- Increase opportunities of user interactions
- Manage complements to the core product



Pricing strategy

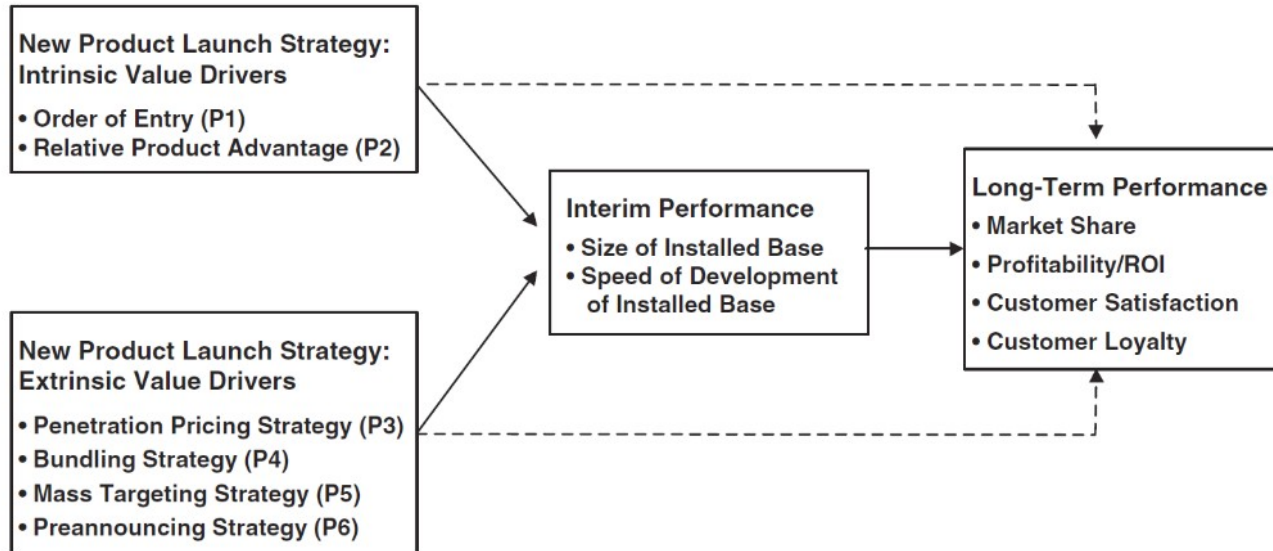
Classical market	Network effects
Intrinsic Value	Extrinsic Value
Skimming pricing	Penetration pricing
Price as quality signal	When lock-in then change prices
	Bundling-compatibility-variety -upgrades

For products with network effects, penetration pricing and bundling are more conducive to long-term performance than skimming pricing or unbundling

Product launch strategy & network effects

FIGURE 2

Product Launch Strategy and Performance of Network Effects Products: A Conceptual Model



NOTE: ROI = return on investment.

OPEN FORUM: Which pricing strategy should MyCoach choose at launch — and why?

Background

MyCoach is a startup offering an AI-powered coaching app for young professionals. The platform provides:

Personalized AI coaching conversations

- Habit tracking and behavioral nudges
- A dashboard for companies to monitor employee development (B2B feature)
- After a beta test with 500 individuals and 3 SME pilot customers, the founders must now decide on a pricing strategy for launch.

Key Characteristics of the Business

- High fixed development costs
- Near-zero marginal cost per additional user
- Many free substitutes (AI tools, YouTube, podcasts)
- Potential data advantages: more users → better AI → higher value

The Strategic Dilemma: The founders disagree

Option A: Freemium Model

Free basic version + 100DKK/month premium

→ Goal: scale quickly and build data advantage

Option B: Premium Subscription

200DKK/month, no free tier

→ Goal: signal high quality and monetize early

Option C: B2B Focus

100DKK per employee/month (annual contracts)

→ Goal: stable, predictable revenue

The company cannot fully pursue all three at once due to limited resources.